Session 4 of 6

3 hours · rounds 6 and 7

People and organization.

Plan the first hires, use equity as compensation, and manage morale, hours and founder stress.

Today’s three hours.

01	02	03	04
Debriefing	**Lesson**	**Rounds 6 and 7**	**Wrap-up**
20-30 minutes	35 minutes	2 × 35-40 minutes	15 minutes
Rounds 4 and 5: standings and news in projector view.	First hires, employee equity, culture, hours and burnout.	Hiring auctions, morale, burnout.	Round report, decision memo assignment.

Lesson
The first hires

The first people make the company.

Generalists first

In the search phase you need people who do many things and change roles when the plan changes.

Right for the stage

Someone perfect for a 500-person company can be wrong for a company of five.

Mistakes are expensive

A bad hire costs more than a salary: founder time, morale, culture.

“Hire for strength rather than lack of weakness.” Ben Horowitz

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- **In the game.** New hires take two months to ramp up, and juniors work at 85% if they have no mentor.

Lesson

Who works for the startup

Employee, contractor or advisor.

	What they bring	What it costs	The risk
Employee	Full commitment, knowledge that stays in the company	Salary, equity, months to onboard	A mistake is slow to fix
Contractor	Capacity right away, specific skills	Paid per project, no equity	The knowledge leaves with them
Advisor	Contacts, reputation, advice	A few hours and a small stake	The help depends on goodwill

- **In the game.** Contractors are paid from the R&D budget, get no equity and leave more tech debt than employees.

Lesson
Stock options and the option pool

Employee equity: less salary, more future.

How it works

- A stock option is the right to buy shares at a price set today.
- Options come from a reserved pool and vest: 4 years, 1-year cliff.
- Before product-market fit the risk is highest: more equity, less salary.
- Every round dilutes the pool, and investors ask for it to be topped up.

12%

is roughly the median pool after the seed. By Series D it gets close to 19%.

Carta data on US startups

- **In the game.** Candidates ask for more equity when the risk is high: × 1.3 before launch, × 0.6 after a round above €20M.

Lesson

Fred Brooks, The Mythical Man-Month (1975)

“Adding manpower to a late software project makes it later.”

3 people	6 people	10 people
3	15	45
communication channels	communication channels	communication channels

With n people there are n × (n − 1) ÷ 2 channels: they grow much faster than the team, and newcomers take time away from the people training them.

- **In the game.** Beyond 6 employees coordination drops, and each extra person adds less development capacity.

Lesson
Culture

“Actual company values, as opposed to the nice-sounding values, are shown by who gets rewarded, promoted, or let go.”

Netflix Culture: Freedom & Responsibility (2009)

Netflix, 2009. Reed Hastings and Patty McCord publish the company’s culture document online: more than a hundred slides, read by millions of people.

- **In the game.** Morale depends on runway, growth, hours, offsites and broad equity; below 0.55, employees start to quit.

Lesson

John Pencavel, The Productivity of Working Hours (2014)

More hours do not mean more work.

49 hours

Up to here, output grows in proportion to hours. Beyond it, output grows less and less.

70 hours

Produced little more than 56 did: the extra hours added almost nothing.

7 days

Without one day of rest a week, output went down.

Data on workers in British munitions factories during World War I. Observational study.

- **In the game.** Founder hours yield 0.8 at 40, 1.0 at 50, 1.15 at 60 and 1.3 at 80; but 80 hours kept up for a year almost always end in burnout.

Lesson

Burnout and founder health

The founder is the scarcest resource.

30%

of the entrepreneurs studied reported a history of depression, more than the comparison group.

Freeman and colleagues, 242 entrepreneurs, Small Business Economics (2019)

What helps

- Planned rest, not just rest after a crash.
- Sharing the weight of decisions: co-founders, advisors, a mentor.
- Talking about it: pressure grows when it stays hidden.
- A long runway: the fear of running out of cash weighs more than the hours.

- **In the game.** Stress above 0.85 for two months triggers burnout: founders at half capacity for 3 months. A vacation resets fatigue.

Lesson
Summary

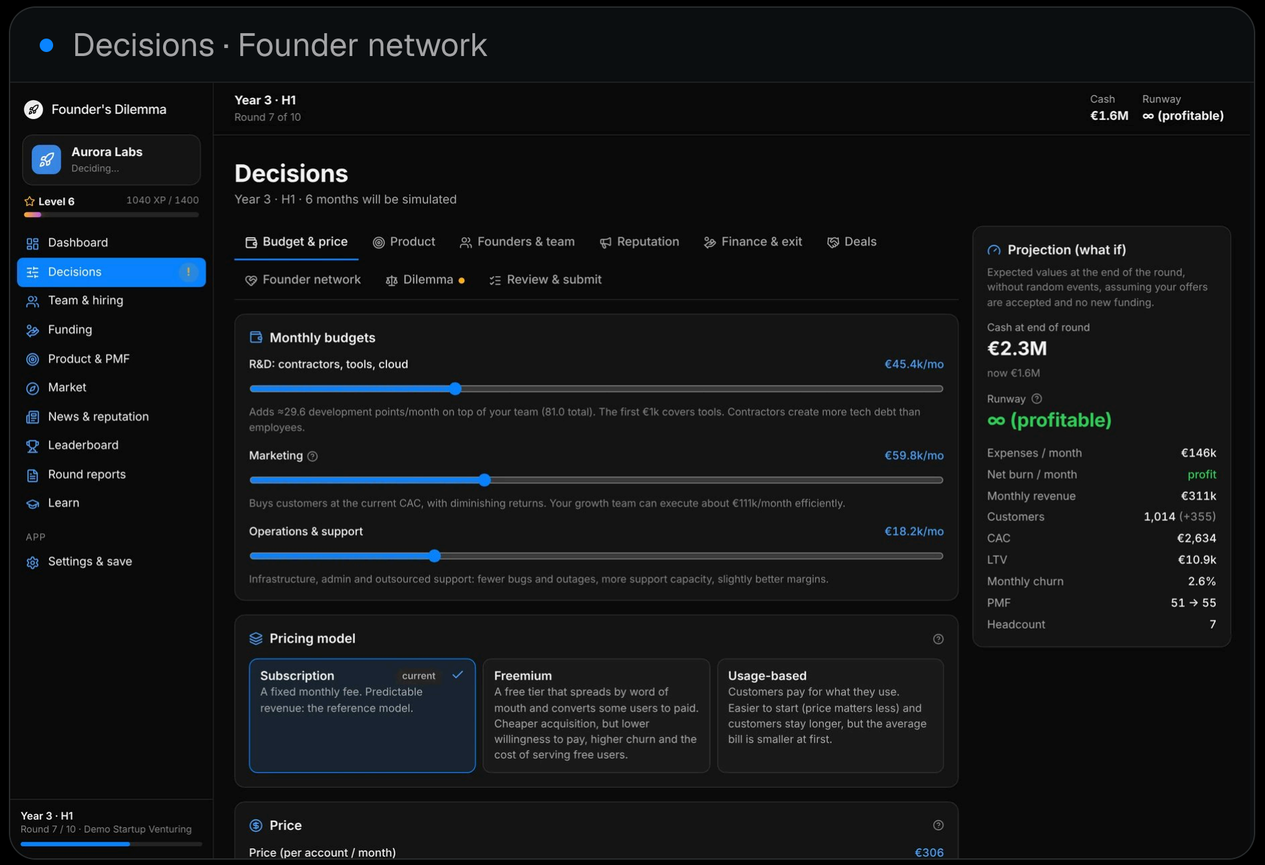
Before you hire, five questions.

01	Do we need this job now, or does a company we are not yet need it?
02	Employee, contractor or advisor: what do we really need?
03	How much equity can we offer, and from which pool?
04	Who coordinates whom when the team doubles?
05	How many hours can we sustain for a year, not a month?

In the game
Rounds 6 and 7

Today's decisions.

- **Auctions:** several teams can bid for the same candidates.
- **Candidates:** they weigh salary, equity, reputation and sector; a near miss gets a counter-offer.
- **Morale:** below 0.55, employees start to quit.
- **Founder network:** including attempts to poach talent from other teams.



Three questions for rounds 6 and 7.

01 Are you hiring people or contractors? Which choice is right at this stage?

02 Scarce talent: salary or equity? Which candidates preferred which, and why?

03 If you lost a candidate at auction, what would you have offered differently?

Assignment

Decision memo for rounds 6 and 7

Before the next session.

Decision memo

Rounds 6 and 7.

Tell the story of your hires: who, with what salary and equity offer, and what happened to morale and runway.

Next session

Financing growth.

Sources of funding, term sheets, dilution, preferences and the wealth versus control dilemma.